Corporate Finance

Lecture 1: Introduction

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Objectives

Presentation

1. Name
2. Where are you from?
3. Academic background?
4. Fun fact or thing you like?

Course outline

1. Chapter 10: Capital Markets and the Pricing of Risk
2. Chapter 11: Optimal Portfolio Choice
3. Chapter 11: Capital Asset Pricing Model
4. Chapter 13: Investor Behavior and Capital Market Efficiency
5. Chapter 12: Estimating the Cost of Capital
6. Chapter 14: Capital Structure in a Perfect Market
7. Chapter 15: Debt and Taxes
8. Chapter 17: Payout Policy
9. Chapters 23-24: Introduction to Long-term Financing
10. Chapters 20 & 30: Options and Risk Management

Assessment methods

- Overall grade:
  - Continuous assessment
    - Excel group assignment (20%)
    - Pearson Mylab weekly homework (10%)
  - Final exam (70%)
    - Closed-book, paper-based, on-campus exam.
    - Duration of two hours.
    - Mix of multiple choice questions, calculation questions including possibly questions to draw figures with short answers interpreting the results, and few short open-answer questions.
    - Formula sheet will be provided and students need to bring a calculator.
    - Last year's exam will be provided in November.
- Students need a minimum grade of 8 in the final exam and a minimum overall grade of 10 to pass the course.

Bibliography

- The reference book is Berk, Jonathan and Peter DeMarzo, "Corporate Finance," Pearson Education.
- The course will cover the Parts IV, V and VII ... ...but in less detail than the book.
- An electronic version of the textbook is available on MyFinanceLab.

Documents and learning resources

- I will update the slides weekly.
- Blackboard: https://escp.blackboard.com/ $\Rightarrow$ Additional materials and Q&A forum
- Pearson Mylab: MyFinanceLab (access via blackboard)
  - Students are required to complete weekly assignments in MyFinanceLab.
  - These homeworks are made available after each lecture block and are due before the start of the next lecture block. Late submission will not be accepted.
  - Each homework contains five questions that cover a two-hour lecture. For four-hour lectures, two such homeworks will be made available (covering a total of ten questions).
  - There will be twelve homeworks in total.
  - It is recommended to study the additional exercises for each chapter available in the multimedia library.

Homework grade

- There are twelve homeworks, one for each two-hour lecture block.
- Homeworks are made available after each lecture and they are due one week later (before the next lecture starts).
- Each homework is automatically graded on a scale from 0 to 100%. A missing homework will receive a grade of zero.
- The homework grade is the average grade in the first eleven homeworks multiplied by 20 (to obtain a grade in the 0-20 range).
- The homework grade is worth 10% of the overall grade.

Contact

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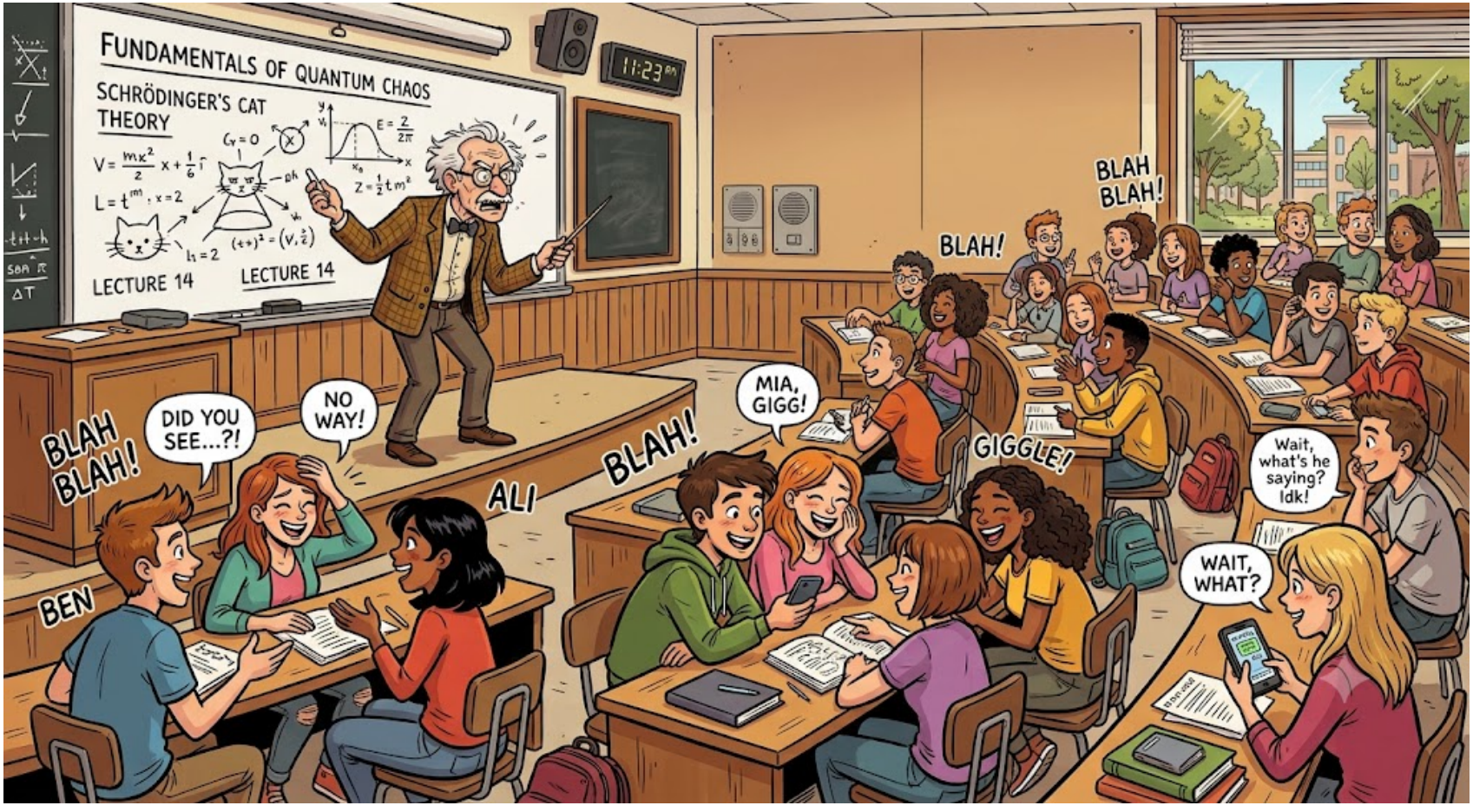
Some class rules

1. No digital devices rule



2. Do not have parallel conversations while the professor talks

If you would rather talk through the whole class, it is better not to come at all, and to accept the consequences



3. Attendance will be taken at the beginning of every class

The final assignment